

DIGITALAIKART

PREMIUM AI DIGITAL PRODUCTS · MADE FOR INDIA

YOUR SCORE TODAY

560 → **780**

THE 90-DAY REPAIR PLAN THAT GETS YOU THERE

THE CIBIL CREDIT SCORE

REPAIR PLAYBOOK

Fix errors, clear dues, cut utilisation — and get loan-ready

INDIAN EDITION · 2026-27

Fully updated for RBI's weekly credit-reporting regime effective 1 July 2026

WELCOME

Read This First

Your credit score decides the interest rate on every rupee you will ever borrow. A home-loan borrower with a 780 score and one with a 620 score can be offered rates that differ by several percentage points — over 20 years on a Rs 50 lakh loan, that gap alone can cost lakhs of rupees. The difference between the two borrowers is rarely income. It is a handful of habits, errors and timing choices, most of which can be repaired on your own, for free, in about 90 days.

This playbook is that repair manual. It walks you through pulling all four of your free credit reports, auditing them like a bank underwriter, disputing every error through the official process (with the RBI compensation clock working in your favour), clearing the dues that are actively damaging you, and cutting your utilisation the smart way. It is fully updated for the credit-reporting regime that took effect on 1 July 2026, when lenders began reporting your credit behaviour to bureaus every week instead of twice a month.

What you will NOT find here: shortcuts, paid “CIBIL fixer” tricks, or promises of guaranteed point jumps. Those do not work — several are outright scams, and Chapter 18 shows you how to spot them. What you get instead is the exact sequence of official, free actions that move a score, in the order that moves it fastest.

HOW TO USE THIS BOOK

Work through Parts I and II in one sitting (about 30 minutes). Then run the 90-Day Repair Plan in Part III exactly as scheduled — each phase builds on the previous one. Keep the trackers in Part V filled in as you go; they are your proof of dates if you ever need to claim RBI compensation or escalate a dispute.

A note on scope: “CIBIL score” is the household name, but India has four RBI-licensed credit bureaus — TransUnion CIBIL, Experian, Equifax and CRIF High Mark. Everything in this book applies to your report at every bureau; where a rule is CIBIL-specific (such as the dispute form), we say so.

PART I

Know Your Score

What the number actually is, what lenders do with it, and the five levers that move it — before you touch anything.

PART I · CHAPTER 1

What Your Score Really Is

Your credit score is a three-digit summary of how you have handled borrowed money, computed from your credit report — the running record banks and NBFCs file about your loans, credit cards and repayments. In India, scores from the major bureaus run from **300 to 900**. The number is not a reflection of your salary, savings or net worth; it only reflects borrowing behaviour.

As a rough guide used across the industry: **750 and above** is considered excellent, **700–750** is comfortably approvable at most lenders, **650–700** means approvals come with conditions or higher rates, and **below 600** is where mainstream lenders start refusing applications outright. Most mainstream banks and NBFCs look for at least 700–750 on personal loans. None of these thresholds are law — each lender sets its own cut-off — but they describe the market you are walking into.

Three facts about the system that most borrowers learn too late:

- **Scores differ between bureaus.** Not every lender reports to every bureau, and scoring models differ. A 742 at CIBIL can sit next to a 715 at Experian. Large banks lean on CIBIL; fintechs and NBFCs often pull Experian or CRIF High Mark — which is why this playbook audits *all four* reports, not one.
- **No credit means no score.** A CIBIL score is only generated if you have had an active loan or credit card within roughly the last 36 months. If your report shows “NA” or “NH”, you have a thin file — Chapter 13 is your chapter.
- **First-time borrowers have a regulatory shield.** Under RBI’s credit-information directions, a first-time borrower’s application must not be rejected solely because they have no credit history. Lenders can still decline for other reasons — but “no history” alone is not a valid ground.

One more thing worth internalising: a high score does not guarantee a loan. In September 2026, Mint reported on a borrower with a **780 score whose home loan was still rejected** — because lenders also weigh income stability, existing EMI, repayment capacity and property documents. The score opens the door; the rest of your file walks you through it. Chapter 16 covers the full loan-readiness checklist.

PART I · CHAPTER 2

The Five Levers That Move Your Score

The exact scoring formula is proprietary to each bureau, and no bureau publishes a point-by-point table. But lenders and bureaus are consistent about which factors carry the weight. The percentages below are widely-cited industry estimates — treat them as proportions, not gospel:

Lever	Approx. weight	What it means	Your one-line job
Payment history	~35–40%	Every EMI and card payment, on time or not. Misses stay visible in your Days-Past-Due (DPD) history for up to 36 months.	Never miss a due date. Automate it.
Credit utilisation	~25–30%	How much of your card limits you actually use. Above ~30% starts reading as stress.	Stay under 30%; 10–20% is ideal.

Lever	Approx. weight	What it means	Your one-line job
Credit age	~10–15%	How long your accounts have existed. Older accounts lengthen your average history.	Keep old cards open and lightly used.
Credit mix	~10–15%	The balance of secured (home, auto, gold, FD-backed) versus unsecured (cards, personal loans) credit.	Avoid living entirely on cards.
Hard enquiries	~10–15%	Each application triggers a lender pull that is recorded. Clusters look desperate.	Space applications 3–6 months apart.

Two consequences follow from this table. First, **payment history and utilisation together decide roughly two-thirds of your score** — which is why the 90-Day Plan spends its first two months almost entirely on them. Second, levers three to five are mostly about what you *don't* do: don't close old cards, don't chase new ones, don't apply to five lenders in a month. The best score repairs are often a series of refusals.

KEY IDEA — THE ASYMMETRY

Score damage is fast and score repair is slow. A single missed EMI can shave a meaningful number of points off a clean profile and sit in your DPD history for up to three years; rebuilding from it takes months of clean payments. This asymmetry is the entire argument for the automated, boring systems you will set up in Part III.

PART II

Get And Read Your Reports

Your four free reports, what every field means, and how to audit them like the underwriter who will judge you.

PART II · CHAPTER 3

Pull All Four Reports — Free

RBI rules entitle every individual to **one free full credit report, including the score, from each bureau, every calendar year**. That is four complete reports — CIBIL, Experian, Equifax and CRIF High Mark — at zero cost. The report you get is the same full version lenders see, not a summary. Your plan: pull all four in the same week, because you will compare them line by line in the audit.

Where: on each bureau's own website — cibil.com (the free annual score and report page), experian.in, equifax.co.in and crifhighmark.com — after authenticating with your PAN, mobile and (typically) an OTP. At CIBIL, note the calendar-year rule: if you claimed your free report on or after 1 January 2026, your next free one unlocks on 1 January 2027.

If you have already used your free CIBIL report this year and need a fresh one mid-repair, CIBIL's paid options (as listed on its plans page) are: a one-time **Starter report for Rs 118** (report only, no score), **Rs 550 for one month**, **Rs 800 for six months** or **Rs 1,200 for twelve months**, which include the score, monitoring and alerts. Many fintech apps also display a bureau score free of charge — fine for a monthly glance, but for the audit you want the *full report* from the bureau itself, because apps hide the account-level detail where errors live.

DO NOT FEAR THE CHECK

Checking your own report or score is a “soft” action and has **zero** impact on your score — check it as often as you like. Only a lender's pull after you apply for credit is a “hard” enquiry that is recorded. This is the single most damaging myth in Indian credit, and it stops people from auditing the very document that decides their loan fate.

PART II · CHAPTER 4

Read Your Report Like an Underwriter

A credit report has five zones. Here is what to look for in each, and what an underwriter sees when they open it.

Zone of the report	What you check	Red flags
Ownership / personal details	Name, PAN, DOB, addresses, phone. Merged or misspelled identities cause the worst errors.	Accounts that are not yours; multiple name spellings; an address you never lived at.
Account information	Every loan and card: lender, type, opened date, current balance, sanctioned limit, and the status field.	A closed account still showing “Active”; a loan you never took (possible identity fraud); duplicates of the same debt.
Days Past Due (DPD)	A month-by-month grid of each account's payment timeliness — typically the last 36 months.	Any 30/60/90+ codes on months you actually paid; DPD marks on settled-old accounts that keep resurrecting.
Status of each account	“Active”, “Closed”, “Settled” or “Written Off”.	“Settled” or “Written Off” — these suppress your score for years (Chapter 12).
Enquiries	Every lender pull on your file, each with a date and an Enquiry Control Number (ECN).	Enquiries you never authorised — a possible sign someone applied using your details.

Pay special attention to the **“Date Reported”** field on each account — the date the lender last sent an update. CIBIL's own guidance: if that date is more than two months old and a payment you made still is not reflected, that is grounds for a dispute. And learn the status vocabulary now, because it decides repair strategy:

Status	What it means	Score impact
Closed	Fully repaid and closed. This is the status you want on every finished loan.	Neutral-to-positive.
Settled	You negotiated and paid less than the full outstanding; the lender accepted it as final.	Negative — the remark can remain on the report for up to 7 years.
Written Off	The lender gave up on recovering the amount.	Severely negative, and the standard reason for outright rejection.

Finally, note which accounts each bureau shows. A personal loan from a small NBFC may appear only at Experian and CRIF; your credit card may be reported everywhere. This is why a single-bureau check gives you a partial picture of your own file — and why your audit uses all four.

THE 60-DAY WINDOW

CIBIL accepts disputes only on reports from the past 60 days. If your report is older, refresh it before disputing — otherwise you will be disputing against stale data and the process will bounce.

PART III

The 90-Day Repair Plan

Days 1–7 audit, days 8–30 disputes, days 31–60 dues and utilisation, days 61–90 rebuild. One phase at a time.

PART III · CHAPTER 5

The Plan at a Glance

Ninety days is the honest minimum for visible change: bureaus refresh on their own schedule, lenders take weeks to confirm corrections, and the two levers worth most of your score (history and utilisation) move in reporting cycles, not overnight. Here is the whole plan; the next four chapters expand each phase.

Phase	Days	The one goal	Chapters
Audit	1–7	All four reports pulled, every line item verified, every error listed with proof.	Ch. 6
Dispute	8–30	Every wrong entry formally disputed at the bureau; the 30-day RBI clock running.	Ch. 7
Repair	31–60	Overdues cleared, auto-debits set, utilisation pushed under 30%.	Ch. 8
Rebuild	61–90	Score re-checked, old cards kept alive, next application planned only above 700.	Ch. 9

Run it in order. Disputing before auditing wastes your 60-day report window; applying for new credit mid-repair burns an enquiry on a score that is still damaged; and clearing dues without an auto-debit just schedules the next missed payment.

PART III · CHAPTER 6

Days 1–7: The Four-Report Audit

Block one focused hour per report, four days in a row. For each report, work through the checklist below and write every discrepancy in the Audit Tracker (Part V). Evidence wins disputes, so as you go, screenshot or PDF each suspect account and dig out the matching proof: bank statement showing the EMI debit, the closure letter, the No Dues Certificate, card statements for disputed months.

- ☐ Every account listed actually belongs to me (or I am a known co-borrower / guarantor on it).
- ☐ Each lender name, account number and type is correct — no duplicates of the same debt.
- ☐ Accounts I fully repaid show **Closed**, not Active or Settled.
- ☐ The DPD grid shows no late codes (30 / 60 / 90+) for months I paid on time.
- ☐ Current balances and sanctioned limits roughly match my latest statements.
- ☐ Every enquiry listed is one I authorised — I can match it to an actual application I made.
- ☐ Name, PAN, date of birth and addresses are correct and consistent across bureaus.
- ☐ No account appears at one bureau with a different status than at another (e.g. Closed vs Settled).
- ☐ The “Date Reported” on each account is within the last two months.
- ☐ I have a folder with proof (statements, closure letters, NDC) for every issue I found.

If the audit comes back clean and your score is still low, your problem is not errors — it is the five levers of Chapter 2, and Chapters 8–13 are your repair manual. If you found wrong entries, the next chapter is the most important one in this book.

PART III · CHAPTER 7

Days 8–30: Dispute Every Error

Disputing is free, online, and backed by hard RBI timelines. The onus of accuracy sits with the lender and the bureau — you only need to point at the wrong line and supply the proof. Here is the process at CIBIL (other bureaus follow the same pattern on their own sites):

1. Log in at cibil.com with a **fresh report from the last 60 days** (disputes on older reports are not accepted).
2. Open the dispute form and select the section — you can dispute across **Account, Personal, Employment and Enquiry** fields in a **single** dispute; select everything before submitting.
3. Pick the specific field(s) that are wrong and state the correction, uploading or referencing your proof.
4. Submit and record the **dispute ID** and date in your Dispute Tracker (Part V). CIBIL sends status emails roughly every 7 days while the dispute is open.
5. CIBIL routes the dispute to the lender. The lender must respond within **21 calendar days** of the bureau raising it.
6. The full dispute must be resolved within **30 calendar days** of filing — this timeline is in RBI's credit-information directions, not a courtesy.
7. When the lender confirms the correction, the bureau updates your report; verify it yourself with a fresh pull rather than trusting the email.

THE Rs 100-A-DAY CLOCK

If your complaint is not resolved within 30 days of filing with the bureau or lender, RBI's Master Directions entitle you to **compensation of Rs 100 per calendar day** of delay, credited automatically within five working days of the complaint being closed. Keep your dispute ID, dates and every email — that paper trail is what the tracker in Part V is for.

If the correction never comes: first complain in writing to the lender's **Principal Nodal Officer** (every bank publishes this contact). Still stuck, or the bureau and lender are pointing at each other? Escalate on the RBI's Complaint Management System (cms.rbi.org.in), which routes the matter under the RBI-Integrated Ombudsman framework. Never pay a third party to "handle" this for you — the entire channel is free.

Two honesty notes: the bureau cannot change anything without the lender's confirmation — a genuine error the lender itself refuses to fix has to be fought at the lender or the Ombudsman, not by re-filing at the bureau. And a dispute can only correct what is *wrong*; it cannot delete truthful late payments or defaults, whatever a paid agent promises you.

PART III · CHAPTER 8

Days 31–60: Clear Dues, Cut Utilisation

With errors being corrected in the background, attack the two levers that carry the most weight. First, **overdues**: every rupee overdue — even a forgotten Rs 500 card balance — is being reported as a live delinquency every reporting cycle and dragging your score each time. List all overdue accounts from your audit and clear them, smallest first if cash is tight, so the negative entries stop compounding. If you cannot clear a card in full, pay at least the minimum due immediately: that keeps the account "current" rather than "delinquent", which is a materially better report line.

Second, **utilisation** — the trickiest and most rewarding lever. The reported figure is your outstanding balance as a share of your limit on statement day. Which leads to the counter-intuitive rule most cardholders never learn:

THE STATEMENT-DATE TRAP

Paying your bill in full and on time does NOT lower reported utilisation, because the balance was already reported on the statement date — days before your due date. If you are running high utilisation, pay the balance down **before the statement is generated**, not just by the due date. Your reported utilisation — and therefore your score — responds within a reporting cycle or two.

- Keep total utilisation **under 30%** of your combined limits; the 10–20% band is where approvals come easiest.
- Per-card utilisation matters too — one maxed-out card alongside idle cards still reads as stress.
- A limit increase lowers utilisation mathematically, but only if spending stays flat — and do not request one mid-repair, as some lenders hard-pull for it. Ask first whether the review is soft.
- Spread spending across cards instead of leaning on one, or prepay mid-cycle through the app.
- Set up **auto-debit for at least the minimum due** on every card and a standing instruction for every EMI — this single boring step prevents the missed payments that undo months of repair.

PART III · CHAPTER 9

Days 61–90: Rebuild and Re-Check

By now errors are corrected, overdues are cleared, and utilisation is heading under 30%. The final month is about consolidating and preparing your next application so you never repeat the cycle.

- Re-pull one bureau report (your second free one if it is a new calendar year; otherwise a paid one-month plan or a free app score) and verify every disputed correction actually landed.
- Keep old cards open and alive — a small recurring charge (a subscription, fuel) paid in full each month keeps the history lengthening without adding risk.
- Add no new applications. Every hard enquiry now is a tax on the score you just repaired. Space any future applications 3–6 months apart (Chapter 11).
- If you have no card at all after clearing old dues, consider an FD-backed secured card to restart positive history — Chapter 13 covers when that makes sense.
- If a goal loan (home, car) is 6–12 months away, run the loan-readiness checklist in Chapter 16 now and fix the non-score gaps while there is still time.
- Book a recurring 10-minute monthly review: score glance, card due dates, one full-report audit every year (all four bureaus, free).

What realistic improvement looks like: correcting a genuinely wrong default, clearing overdues and dropping utilisation from high levels to under 30% can produce visible movement within one to two reporting cycles. But no honest guide can promise point numbers — the formulas are proprietary, deep delinquencies can suppress a score for years, and anyone quoting you “guaranteed +120 points” is selling something. What you control is the inputs; the score follows.

PART III · CHAPTER 10

Utilisation Mechanics, Deep Dive

Because utilisation carries roughly a quarter of your score, it deserves one full chapter. Work an example: limit Rs 1,00,000, monthly spend Rs 45,000.

Approach	Reported utilisation	Reads as
Pay in full by due date (after statement)	45% — balance already reported	Stress
Pay Rs 20,000 before statement date, rest by due date	~25%	Acceptable
Pay Rs 40,000 before statement date, rest by due date	~5%	Excellent

The payment behaviour is identical in all three rows — nothing is ever late — yet the reported picture swings from “stress” to “excellent” purely on timing. That is the whole game with utilisation: it is not about how much you spend or even whether you pay in full; it is about what balance happens to be on the books on statement day.

Make it systematic: set a phone reminder three days before each card’s statement date, pay the spend down to under 30% (ideally under 20%) of that card’s limit, and let the auto-debit handle the rest on the due date. Since July 2026, lenders report weekly, so a mid-cycle paydown reaches the bureaus within days instead of weeks (Chapter 15).

PART III · CHAPTER 11

Hard Enquiries and Application Discipline

Every time you apply for any credit — a bank loan, a credit card, and yes, most of those instant app-based loans — the lender pulls your report and the pull is recorded with a date and an Enquiry Control Number. One enquiry is routine. A cluster of enquiries within a few weeks reads to the next lender as “this person is being refused everywhere / is desperate”, and practitioner experience pegs each hard enquiry at a few points off your score, with the cluster doing the reputational damage.

The modern trap is invisible: tapping “check eligibility” on five lending apps in a week can generate five hard enquiries before you have decided anything. And a rejected application hurts twice — once as an enquiry today, and again as a weaker file tomorrow.

- Before any application, check your own eligibility honestly — your fresh report, income stability, existing EMIs — rather than shopping to “see who approves”.
- Prioritise **pre-approved or pre-qualified** offers from your own bank; these are extended on data the bank already holds and typically do not need the same hard pull.
- Space real applications at least **3–6 months** apart.
- Rate-shopping done within a short window (typically 2–3 weeks) for the same loan type is treated more kindly than the same applications scattered across months — when you do shop, shop tight.
- Recognise unauthorised enquiries during your audit and dispute them immediately — they can be a sign of attempted identity fraud, not just a score nuisance.

PART III · CHAPTER 12

The Settlement Trap

“Settlement” is the word for negotiating to pay less than you owe — often via the bank’s one-time settlement (OTS) route — and it is fully legal and sometimes genuinely necessary. But understand exactly what you are buying: the account is thereafter marked **“Settled”, not “Closed”**, and that remark can stay on your credit report for up to **7 years**. To every future lender it says: this borrower did not repay in full. It is among the heaviest single negative entries your report can carry — materially worse than a restructuring where you eventually repaid everything.

The priority order, whenever you have a choice:

Option	Report outcome
Repay in full	Account shows Closed — cleanest possible outcome.
Restructure / extend tenure and repay fully	Repayment completed; a visibly smaller and shorter-lived hit than settlement.
Settle (OTS)	Account shows Settled; the remark can persist up to 7 years. Last resort — for genuine hardship.

If you must settle, do it properly: negotiate in writing, pay the agreed amount, and collect the **No Dues Certificate (NDC)** confirming the settlement is complete. Then rebuild deliberately — keep every other account spotless, use a secured card for clean positive months, and expect the recovery arc to be measured in years, not weeks. Some lenders will, at their discretion, update the status if you later pay the waived amount — ask in writing; the worst answer is no.

PART III · CHAPTER 13

New to Credit: Building a Thin File

If your report shows “NA” / “NH” or no score, you are not damaged — you are invisible. The fix is to create a small, boring, perfectly-paid credit trail:

- **FD-backed secured credit card:** the standard first step. You open a fixed deposit and get a card against it (typically 80–90% of the FD value). The lender risks almost nothing, so approval is easy even with no history — and every on-time payment builds your file.
- **Add-on card:** on a parent’s or spouse’s card, for gently building the habit (primary behaviour stays with the holder, so treat this as training wheels, not a file-builder).
- **A small consumer-durable EMI** (phone, appliance) repaid on schedule through a mainstream lender — a quick, structured line of positive history.
- **Caution with BNPL:** buy-now-pay-later lines and app-based instant credit are now reported to bureaus. A couple of well-paid plans are harmless; a stack of parallel tiny lines reads as credit-hunger and clutters your file with enquiries.

Whichever route you take, the rules are identical: utilisation under 30%, every payment on time, no new applications while the file is young. A thin file with six clean months becomes a score; a thin file with one missed payment becomes a bad score — and you get to choose which.

PART III · CHAPTER 14

Guaranteed and Co-Signed Loans

When you guarantee or co-sign someone's loan, their account appears on *your* credit report too — and their missed EMIs become your negative marks. The bureau and the lender treat the guarantor as fully accountable for the debt. This surprises almost every co-signer, and it silently sabotages the guarantor's own loan applications years later, including the FOIR calculation (Chapter 16) — the guaranteed EMI counts as your obligation.

Protect yourself: before signing, verify you can comfortably service the EMI yourself if the worst happens; after signing, monitor the account through your annual credit reports and honest conversations about any stress. If the borrower is reliable and wants to release you, ask the lender about a substitution or release process in writing — policies differ by lender, and some allow a replacement guarantor on a fee.

PART IV

2026 Rules and Loan Readiness

What changed this year, the full pre-application checklist, and the myths and scams that cost people money.

PART IV · CHAPTER 15

What Changed in 2026: Weekly Reporting

India’s credit-reporting clock has been accelerating, and it changes how you should time every repair action:

When	What lenders had to do
Until 2024	Report your credit data to bureaus roughly once a month.
From 1 Jan 2025	Fortnightly reporting — data as on the 15th and month-end.
From 1 July 2026	Weekly incremental reporting: lenders submit data as on the 9th, 16th, 23rd and last day of each month — incremental files within 4 calendar days, and the complete monthly file by the 5th of the next month.

The change comes from the RBI’s Amendment Directions of December 2025 to the Credit Information Companies framework, and it cuts both ways:

- **Good behaviour shows up fast.** A big paydown or a cleared overdue reaches the bureaus within days — no more waiting a month or more for your score to reflect a prepayment.
- **Mistakes show up just as fast.** A missed EMI, a maxed-out card, a bounced mandate — reported within days, with no monthly lag to hide behind.
- **Enquiries cluster instantly.** The old trick of applying to five lenders in a week before any pull appears is dead — by the time lender three checks, the earlier enquiries are already visible.
- **Errors surface sooner** — which means your annual four-report audit (Chapter 6) is now even more likely to catch problems while the evidence trail is fresh.

What has **not** changed: your free reports are still one full report per bureau per calendar year — weekly reporting is about how often *lenders send data*, not how often bureaus must hand you a report. And a higher score is still not automatic from the passage of time; only changed behaviour, reported faster, moves the number.

PART IV · CHAPTER 16

The Loan-Ready Checklist

A 780 score can still be rejected — lenders weigh your whole profile. Before any application, run this checklist:

- ☐ Score at the bureau this lender uses is 700+ (750+ for the best rates) — verified from a fresh report, not memory.
- ☐ No overdue accounts anywhere; no DPD marks in the last 12 months.
- ☐ Total EMIs (including any loans you have guaranteed) under ~40–50% of net monthly income — the FOIR cap most lenders apply. CIBIL’s own guidance suggests keeping EMIs at or under 30% of net salary for a healthy buffer.
- ☐ Card utilisation under 30% on the most recent statement of every card.
- ☐ No new hard enquiries in the last 3–6 months.
- ☐ At least ~6 months in the current job (some lenders want a year), and a stable employment story — frequent switches raise flags regardless of score.
- ☐ Documents ready and consistent: last 3 salary slips, 2–3 years of ITRs (or Form 16), 6 months of bank statements — with no mismatch between what the form says and what your report shows.

- ☐ For secured loans: property papers, valuation and title chain in order — the most common reason high-score home loans fall through.
- ☐ Loan amount sized to repayment capacity, not to the maximum eligibility the bank advertises.

Rejections are not recorded on your report — but the enquiry is, and the next lender sees the cluster. If you are rejected, get the reason in writing, fix that specific gap, and wait 3–6 months before reapplying, ideally to a different lender whose criteria fit your profile better.

PART IV · CHAPTER 17

Ten Myths That Cost Indians Money

#	Myth	Reality
1	Checking my own score lowers it.	Self-checks are soft actions with zero score impact — check monthly if you like. Only lender pulls are recorded.
2	Never borrowing means a perfect score.	No borrowing means no history — an invisible file that lenders cannot score. Responsible credit use builds the score.
3	Paying the minimum due is fine.	It keeps the account current, but the balance revolves at card-rate interest and inflates utilisation. Pay in full.
4	Closing old unused cards is tidy.	It deletes your oldest history and shrinks total limit — both hurt. Keep old cards alive with a small charge.
5	A settlement clears the loan.	It leaves a “Settled” remark for up to 7 years — one of the heaviest negatives on a report.
6	CIBIL keeps a defaulter’s blacklist.	CIBIL maintains records, not verdicts. There is no blacklist — each lender applies its own policy to your report.
7	Agents can delete genuine defaults for a fee.	Nobody can lawfully delete accurate data. Disputes fix errors only — and the bureau process is free.
8	My salary is high, so my score will be.	The score tracks credit behaviour, not income. High earners with missed EMIs outscore nobody.
9	One missed EMI is harmless.	A single 30-day late payment is a visible negative that lingers in your DPD history for up to 36 months.
10	All bureaus show the same score.	Reports and scores differ by bureau, because not all lenders report everywhere — audit all four.

PART IV · CHAPTER 18

Scam Red Flags

“Credit repair” is one of the most scam-infested corners of Indian finance, precisely because anxious loan-seekers pay first and think later. Every one of these is either a scam or a deception — walk away:

- **“Pay Rs 5,000–30,000 to remove defaults/settlements from CIBIL.”** Accurate data cannot be deleted by anyone, at any price. The official dispute process — which fixes genuine errors — is free (Chapter 7).
- **“Guaranteed +100 points in 30 days.”** The formulas are proprietary and no one can promise point movements; honest timelines depend on what is actually wrong.

- **“We’ll create a new clean credit file.”** A second identity built on a different PAN or address is fraud — a criminal offence, not a workaround.
- **“Insider contact at the bureau.”** Bureaus cannot change data without the lender’s confirmation; there is no insider lane.
- **Upfront “processing” fees for a loan approval that never comes.** Especially over Telegram and WhatsApp — genuine lenders deduct fees from the sanctioned loan, not before it exists.

The pattern to notice: every scam sells either speed (“instant”, “guaranteed”) or secrecy (“inside contact”) — the two things the real system never offers, because it does not need to. The real system offers process, timelines and compensation instead, and all three work in your favour if you use them.

PART V

Your Toolkit

The audit checklist, trackers and letter templates — print, fill, and keep as your paper trail.

PART V · TOOL 1

The Report Audit Tracker

One row per account, one sheet per bureau. This becomes your dispute evidence index.

Account (lender + last 4 digits)	Status shown	Correct ?	Issue found	Proof held	Action

Tip: write the bureau, report date and report number (CIBIL calls it the Enquiry Control Number for pulls; your report itself carries a report number) on each sheet — disputes on reports older than 60 days will not be accepted.

PART V · TOOL 2

The Dispute Tracker

Track every dispute against the RBI's 21-day lender response and 30-day resolution deadlines — this sheet is what earns you Rs 100 per day if things stall.

Bureau	Dispute ID	Filed on	Item disputed	30-day due	Resolved ?	Correction verified

If “Resolved?” is still No on day 31: complain to the lender's Principal Nodal Officer in writing, then escalate at cms.rbi.org.in — claiming the Rs 100/day delay compensation.

PART V · TOOL 3

The 90-Day Repair Tracker

Day range	Milestone	Done on	Score after (bureau)
1–7	All 4 free reports pulled and audited		
8–30	All errors disputed; IDs recorded		
31–60	Overdues cleared; auto-debits live		
31–60	Utilisation under 30% on every card		
61–90	Corrections verified on fresh report		
61–90	Next application planned (700+, 3–6 months spacing)		

Score check discipline: one bureau score at day 0, day 45 and day 90. Same bureau, same channel — comparing a CIBIL pull with an app's Experian number tells you nothing.

PART V · TOOL 4

Letter Templates

Template A — Follow-up to a stalled dispute (to the lender's Principal Nodal Officer):

Subject: Unresolved credit-report dispute — [account/field] — request for correction under RBI Credit Information Directions

Dear Sir/Madam, I raised a dispute ([Dispute ID], dated [date]) with [bureau] regarding [the incorrect entry] on my credit report. As per RBI directions, the dispute was required to be resolved within 30 days, i.e. by [date]. As on today the entry remains uncorrected. I request you to (1) verify the enclosed proof and confirm the correction to [bureau], and (2) confirm my eligibility for delay compensation of Rs 100 per day beyond the 30th day. If the matter is not resolved within 15 days, I will escalate it on the RBI Complaint Management System (cms.rbi.org.in). Enclosures: [proof documents].

Template B — No Dues Certificate request (after settlement or closure):

Subject: Request for No Dues Certificate — loan account [number]

Dear Sir/Madam, I have paid the full and final amount of Rs [amount] towards my loan account [number] on [date] (transaction reference [UTR/cheque no.]). Kindly issue the No Dues Certificate for this account and confirm to the credit bureaus that the account is closed, so my credit report reflects the correct status. Yours faithfully, [name, PAN, registered mobile].

Send by email and keep the acknowledgement. For a settled account, also ask in writing whether the lender will update the status if the waived portion is later paid — policies vary, and a written request is the only way to find out.

SOURCES & VERIFICATION

Every Fact Checked

This guide was written in September 2026 and verified against the following official and primary sources:

- Reserve Bank of India — (Credit Information Companies) Directions, 2025 and (Credit Information Reporting) Directions for banks and NBFCs, as updated on 1 July 2026: reporting timelines, dispute timelines, and the Rs 100-per-day compensation mechanism.
- Reserve Bank of India — (Credit Information Companies) Amendment Directions, 2025 (dated 4 December 2025): weekly incremental reporting on the 9th, 16th, 23rd and last day of the month, effective 1 July 2026.
- Reserve Bank of India — Free Full Credit Report (FFCR) directions: one free full report with score per bureau per calendar year, effective 2017, consolidated in the 2025 directions.
- TransUnion CIBIL (cibil.com) — Free Annual Score & Report, subscription plan pricing (Rs 118 / Rs 550 / Rs 800 / Rs 1,200), Consumer Dispute Resolution pages and loan-rejection FAQs, current as of September 2026.
- Livemint, 12 September 2026 — “Credit score 780, but home loan application rejected?” (Tata Capital Housing Finance MD Sarosh Amaria on what lenders assess beyond the score).
- Bureau and lender guidance on score ranges (300–900), DPD history, enquiries and co-signed loans from TransUnion CIBIL and mainstream Indian personal-finance references, 2025–2026.

Disclaimer: This book is educational material, not financial advice, and is not affiliated with TransUnion CIBIL, Experian, Equifax, CRIF High Mark or the RBI. Rules, prices and timelines are current as of September 2026 and can change — always verify on the bureau or RBI website before acting. Approximate score-factor weights are industry estimates; exact formulas are proprietary to each bureau.

THE CIBIL CREDIT SCORE REPAIR PLAYBOOK

Digitalaikart · Indian Edition 2026-27 · digitalkartai.shop